Financial Performance Analysis

KAPCO (Primary) vs HUBCO (Benchmark)

Fiscal Years 2021 – 2025

Primary Company	Kot Addu Power Company Limited (KAPCO)
Benchmark Company	Hub Power Company Limited (HUBCO)
Sector	Independent Power Producers (IPP) – Pakistan
Analysis Period	FY2021 – FY2025 (5 Years)
Cross-Section Year	FY2025
Currency	PKR Millions (unless stated otherwise)

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Company Overviews

KAPCO – Kot Addu Power Company Limited (Primary Company)

Kot Addu Power Company Limited (KAPCO), listed on the Pakistan Stock Exchange (PSX), is one of Pakistan's largest thermal power plants, located in Kot Addu, Punjab. The company operates a combined-cycle and steam turbine power plant with an installed capacity of approximately **1,600 MW**. KAPCO was incorporated in 1996 under the original 1994 Power Policy framework as part of Pakistan's privatisation drive in the energy sector. Its primary fuel sources are furnace oil and natural gas.

KAPCO operated under a **25-year Power Purchase Agreement (PPA)** with WAPDA/CPPA-G, which expired in **June 2021**. The expiry of this PPA represents the single most significant event in KAPCO's recent financial history — fundamentally altering its revenue base, receivables position, and operational profile. Following PPA expiry, KAPCO entered a transitional wind-down phase: legacy receivables from WAPDA were progressively recovered, long-term debt was retired, and the company began evaluating options for renewal, conversion to a competitive market supplier, or restructuring. As of FY2025, KAPCO's operating revenue has contracted to **PKR 1.56 billion** (vs. PKR 136.6 billion in FY2022), reflecting minimal new generation contracts during the transition.

Key Highlights: The company remains **financially solvent —** carrying virtually no debt (D/E: 0.14x), with a strong liquidity buffer (Current Ratio: 7.83x) built from recovered receivables and steady dividend-like payouts from legacy operations. KAPCO's major shareholder is the Government of Pakistan through WAPDA, with additional significant stakes held by private and institutional investors.

HUBCO – Hub Power Company Limited (Benchmark Company)

Hub Power Company Limited (HUBCO), also listed on the PSX, is Pakistan's largest private-sector independent power producer (IPP) by installed capacity. Headquartered in Karachi, HUBCO operates a diversified portfolio of power plants including its **Hub Plant (1,292 MW)**, Narowal Energy, China Power Hub Generation (CPHGC – 1,320 MW coal plant), and several renewable energy investments. This diversification insulates HUBCO from single-project PPA risk.

HUBCO's Hub Plant PPA also expired in **FY2025**, contributing to a **31% decline in net profit** vs. prior years — yet the company's diverse portfolio continues to generate robust income. HUBCO reported **PKR 83.35 billion** in revenue and **PKR 51.77 billion** in net profit for FY2025, reflecting its scale advantage and successful operational diversification. HUBCO's ROE of 32.36% and ROCE of 18.56% demonstrate continued value creation for shareholders.

Part 1 – Ratio Calculations: KAPCO (2021–2025)

The tables below present computed financial ratios for KAPCO across five fiscal years. Where revenue was zero (FY2024) due to PPA expiry, margin-based ratios are not applicable (N/A).

1.1 Liquidity Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	2.032	2.018	3.013	4.368	7.827
Quick Ratio	1.908	1.868	2.541	3.608	6.346

1.2 Activity / Efficiency Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Inventory Turnover	4.954	13.455	2.045	0.000	0.157
Receivables Turnover	0.481	1.638	0.573	0.000	0.245
Total Asset Turnover	0.331	0.945	0.213	0.000	0.021

1.3 Debt / Leverage & Coverage Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Debt Ratio	0.572	0.498	0.351	0.240	0.125
Debt-to-Equity	1.334	0.994	0.541	0.316	0.143
Interest Coverage	5.637	4.550	2.091	2.465	13.060

1.4 Profitability Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Gross Profit Margin	10.43%	6.25%	-2.24%	N/A	-28.03%
Net Profit Margin	20.32%	7.24%	15.56%	N/A	162.22%*
ROA	6.72%	7.23%	3.89%	5.29%	3.89%
ROE	15.68%	14.42%	5.99%	6.96%	4.44%
ROCE	22.16%	28.23%	18.94%	14.70%	5.65%

** FY2025 Net Profit Margin of 162.22% is mathematically inflated due to near-zero revenue (PKR 1.56B) relative to net profit (PKR 2.54B, which includes non-operating income, legacy recoveries, and investment returns). It does not reflect sustainable operating profitability.*

Part 2 – Time Series Analysis (2021–2025)

This section examines the five-year trend of KAPCO's financial ratios, identifying structural shifts driven primarily by the expiry of its 25-year Power Purchase Agreement in June 2021.

2.0 Revenue & Profitability Overview

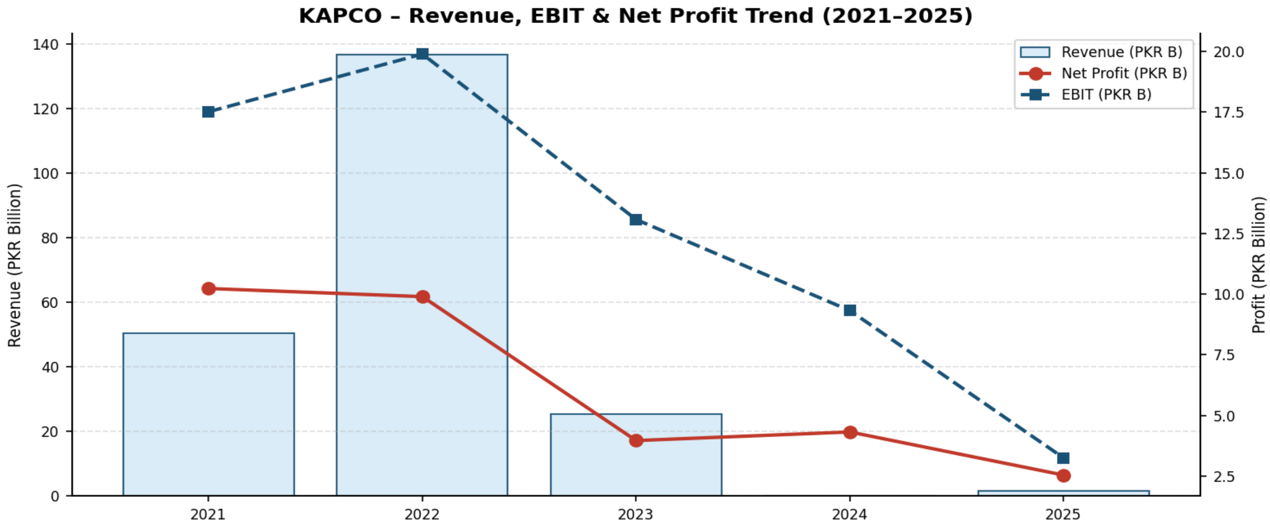

Figure 1: KAPCO Revenue (bars, left axis) vs. EBIT and Net Profit (lines, right axis) in PKR Billions. The dramatic revenue collapse post-FY2022 reflects PPA expiry and cessation of active generation contracts.

2.1 Liquidity: Sustained Improvement

KAPCO's current and quick ratios have improved dramatically each year from FY2021 to FY2025. The current ratio rose from **2.03x** in FY2021 to an extraordinary **7.83x** in FY2025. This reflects systematic recovery of legacy WAPDA receivables (which shrank from PKR 104.6B to PKR 1.88B) combined with rapid paydown of current liabilities (from PKR 73.2B to PKR 7.87B). While the ratio implies exceptional short-term safety, it also signals that the company is in **cash-accumulation rather than reinvestment mode** — indicating strategic uncertainty about future operations.

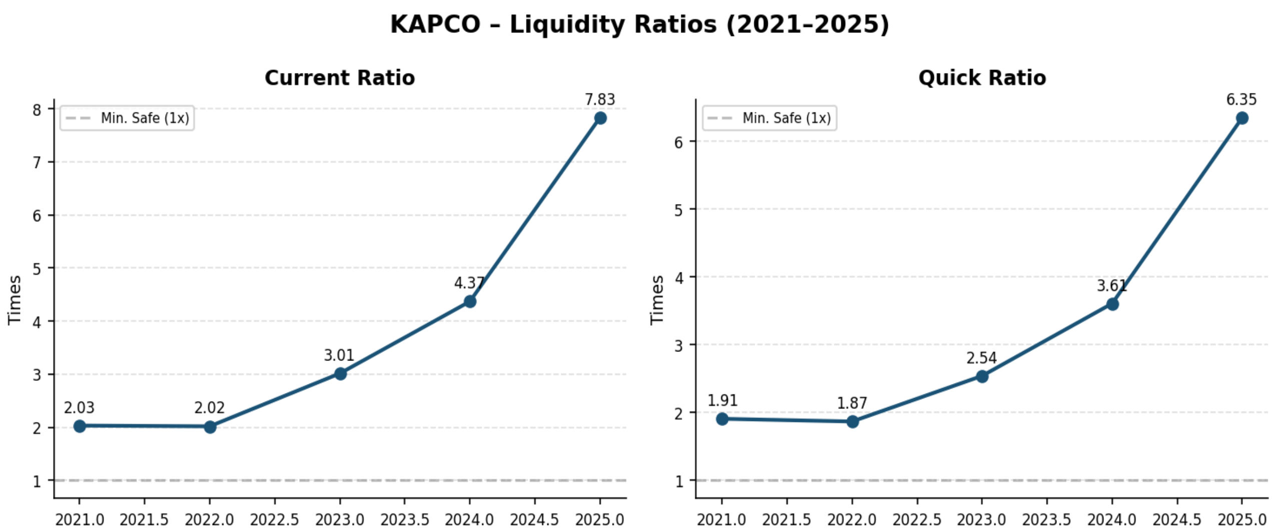

Figure 2: KAPCO Current Ratio and Quick Ratio trend (FY2021–FY2025). Both ratios show a consistent upward trajectory, accelerating post-FY2022 as receivables were recovered and liabilities settled.

2.2 Activity / Efficiency: Operational Collapse Post-PPA

KAPCO's efficiency ratios reveal a company that has essentially ceased active commercial operations. Inventory turnover peaked in FY2022 at **13.46x** — an anomalously high value caused by the final large-scale energy dispatch under legacy contracts — before collapsing to **0.16x** in FY2025, indicating that fuel inventories (valued at PKR 11.65B) turn over less than once per year. Similarly, receivables turnover dropped from 1.64x (FY2022) to 0.25x (FY2025) and total asset turnover fell to **0.02x**, meaning KAPCO generates only PKR 2.1 in revenue per PKR 100 of assets — a severe underutilisation of its asset base.

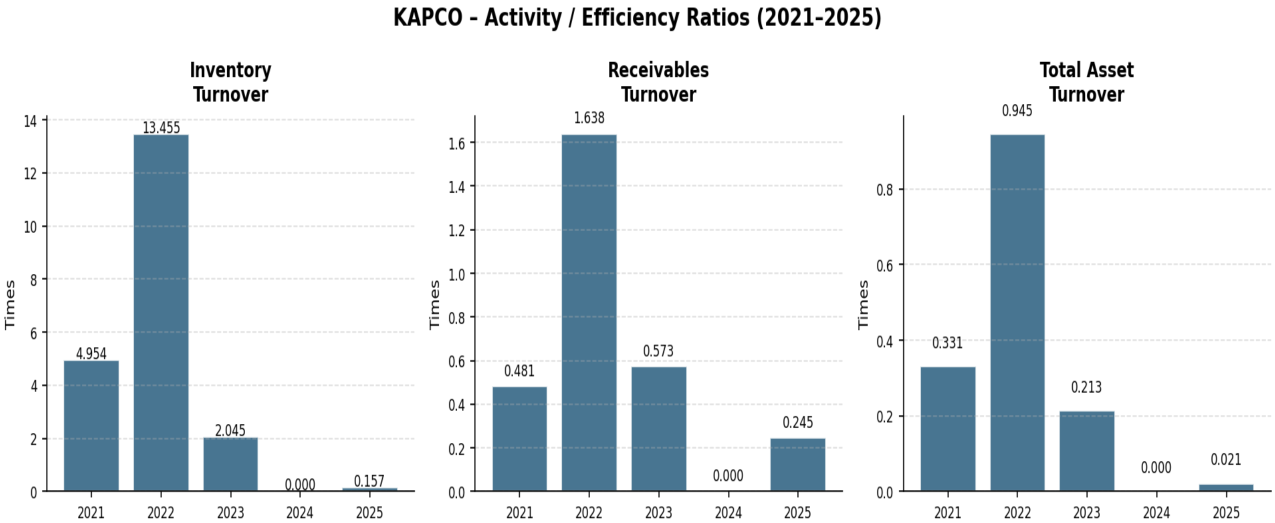

Figure 3: KAPCO Activity Ratios (FY2021–FY2025). The spike in FY2022 reflects the final year of full PPA operations, followed by a near-total collapse in subsequent years as generation activity ceased.

2.3 Leverage & Coverage: De-leveraging Success

KAPCO has executed a decisive de-leveraging strategy since FY2021. Its debt ratio fell from **0.57x** to **0.13x** and debt-to-equity from 1.33x to 0.14x — indicating an almost debt-free balance sheet by FY2025 with total liabilities of only PKR 8.16B vs. equity of PKR 57.1B. The interest coverage ratio follows a non-linear path: it dipped to **2.09x** in FY2023 (highest finance costs of PKR 6.25B as debt was still being serviced) before surging to **13.06x** in FY2025 as debt was nearly extinguished. This near-debt-free position significantly reduces financial risk but also forgoes the **tax shield benefit of leverage**, contributing to lower ROE.

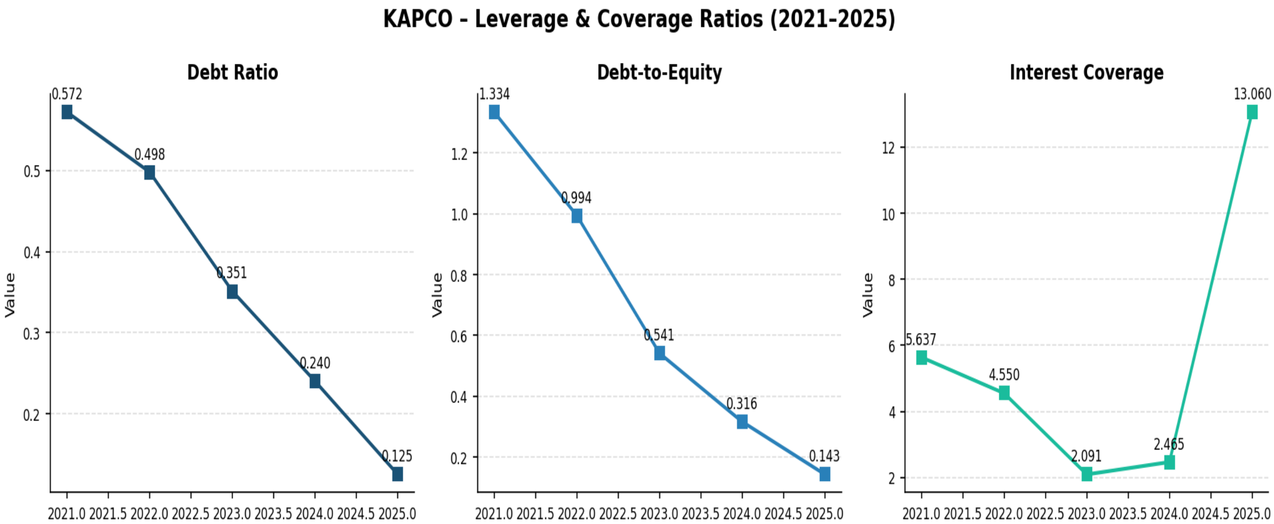

Figure 4: KAPCO Leverage & Coverage Ratios (FY2021–FY2025). Debt Ratio and D/E show consistent decline; Interest Coverage rebounded sharply in FY2025 as finance costs dropped from PKR 6.25B to PKR 0.25B.

2.4 Profitability: Sustained Pressure Despite Non-Operating Income

KAPCO's profitability ratios tell a nuanced story. Asset-based returns (ROA, ROE, ROCE) have declined steadily, consistent with reduced operational activity: **ROE** fell from 15.68% (FY2021) to 4.44% (FY2025), and **ROCE** from 22.16% to 5.65%. These declines reflect a shrinking EBIT (from PKR 17.5B to PKR 3.24B) applied to a slowly reducing but still substantial asset/equity base. The gross profit margin turned negative in FY2023 and FY2025 (cost of operating the plant exceeds generation revenue), confirming that KAPCO's remaining net profit is driven largely by **non-operating income** — interest on its PKR 61.6B current asset base (which includes bank deposits and short-term investments).

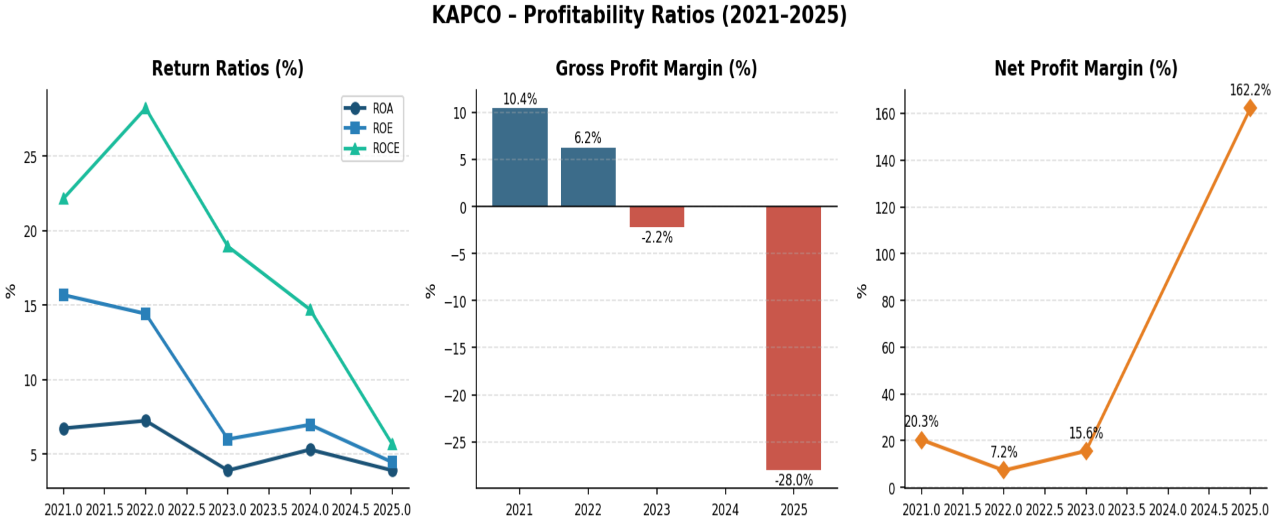

Figure 5: KAPCO Profitability Ratios (FY2021–FY2025). Left: Return ratios (ROA, ROE, ROCE) all declining. Centre: Gross profit margin turning negative in FY2023 & FY2025. Right: Net profit margin inflated in FY2025 due to near-zero revenue base.

Part 3 – Cross-Sectional Analysis: KAPCO vs HUBCO (FY2025)

This section benchmarks KAPCO against HUBCO — Pakistan's largest IPP — for the most recent fiscal year (FY2025). Both companies experienced PPA expirations in FY2025, yet their financial profiles diverge dramatically due to HUBCO's diversified plant portfolio.

Ratio	KAPCO	HUBCO	Variance
— LIQUIDITY —			
Current Ratio	7.827	1.309	+6.518
Quick Ratio	6.346	1.155	+5.191
— ACTIVITY —			
Inventory Turnover	0.088x	4.166x	-4.078
Receivables Turnover	0.245x	1.603x	-1.358
Total Asset Turnover	0.021x	0.219x	-0.198
— LEVERAGE —			
Debt Ratio	0.125	0.579	-0.454
Debt-to-Equity	0.143	1.375	-1.232
Interest Coverage	13.060x	2.499x	+10.561
— PROFITABILITY —			
Gross Profit Margin	-28.03%	57.51%	-85.54%
ROA	3.89%	13.62%	-9.73%
ROE	4.44%	32.36%	-27.92%
ROCE	5.65%	18.56%	-12.91%

3.1 Liquidity Comparison

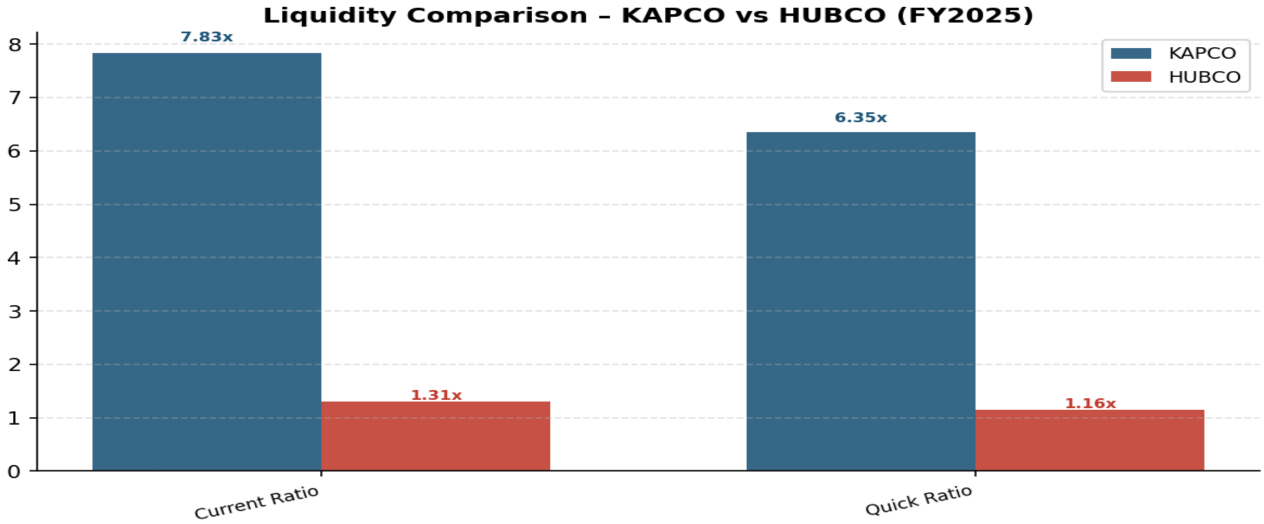

Figure 6: Liquidity Ratios – KAPCO vs HUBCO (FY2025). KAPCO's extreme liquidity reflects recovered receivables and near-zero liabilities; HUBCO maintains tighter but adequate coverage.

KAPCO's current ratio of **7.83x** dwarfs HUBCO's 1.31x, but the comparison is misleading: KAPCO's high liquidity is a **by-product of wind-down** — massive cash/receivable balances with minimal new liabilities — rather than superior working capital management. HUBCO's 1.31x reflects an **actively deployed capital base** for an operating IPP, which is the correct benchmark.

3.2 Activity / Efficiency Comparison

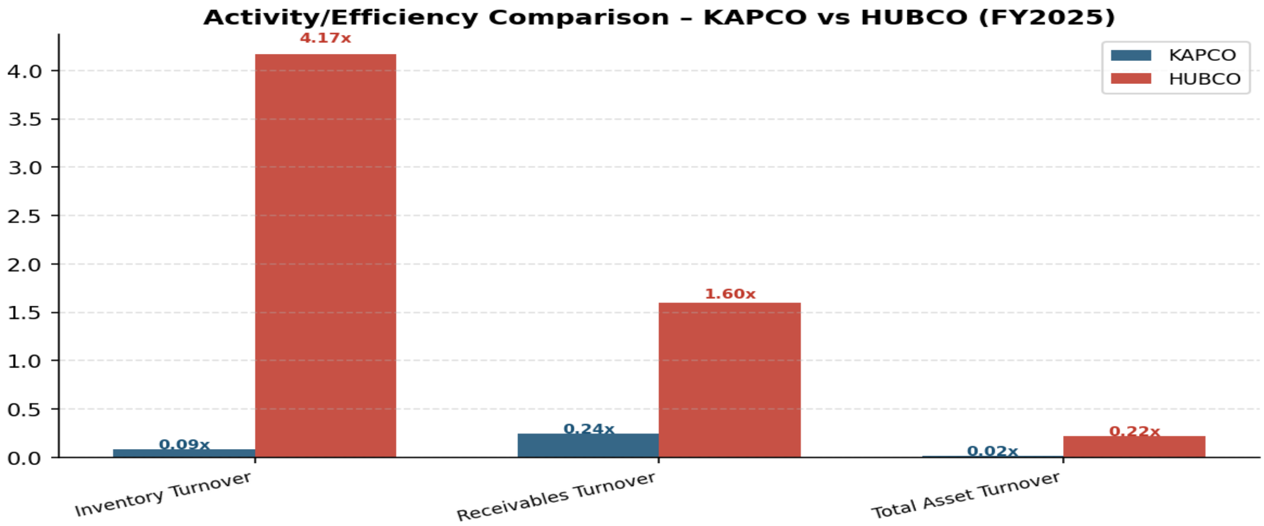

Figure 7: Activity Ratios – KAPCO vs HUBCO (FY2025). HUBCO's substantially higher turnover ratios reflect active, multi-plant power generation operations.

HUBCO outperforms KAPCO decisively on all efficiency metrics. HUBCO's inventory turnover of **4.17x** vs. KAPCO's 0.09x, and total asset turnover of 0.22x vs. 0.02x, confirm that HUBCO is actively converting its resources into revenue. KAPCO's near-zero turnover ratios reflect idle assets and the absence of meaningful commercial generation contracts during FY2025.

3.3 Leverage & Coverage Comparison

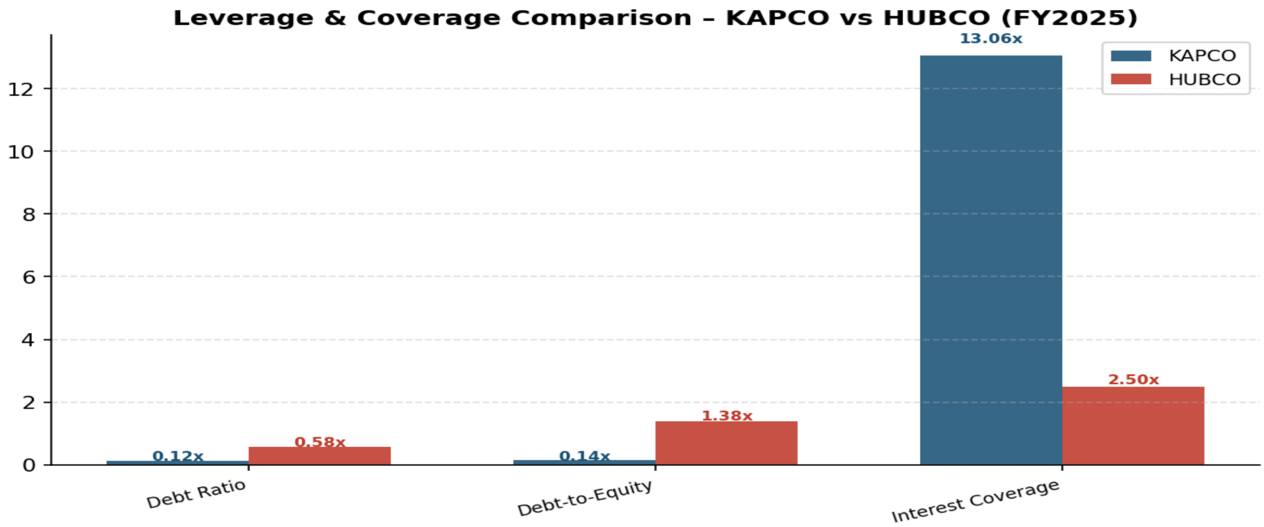

Figure 8: Leverage & Coverage Ratios – KAPCO vs HUBCO (FY2025). KAPCO's near-zero debt position contrasts with HUBCO's moderate leverage to finance infrastructure expansion.

KAPCO is effectively debt-free (D/E: 0.14x) while HUBCO carries moderate leverage (D/E: 1.38x) — typical for a capital-intensive power infrastructure business investing in expansion. HUBCO's interest coverage of 2.50x is adequate but tighter than KAPCO's 13.06x. **HUBCO uses leverage productively** to amplify returns (ROE 32.36%), whereas KAPCO sacrifices return potential for safety.

3.4 Profitability Comparison

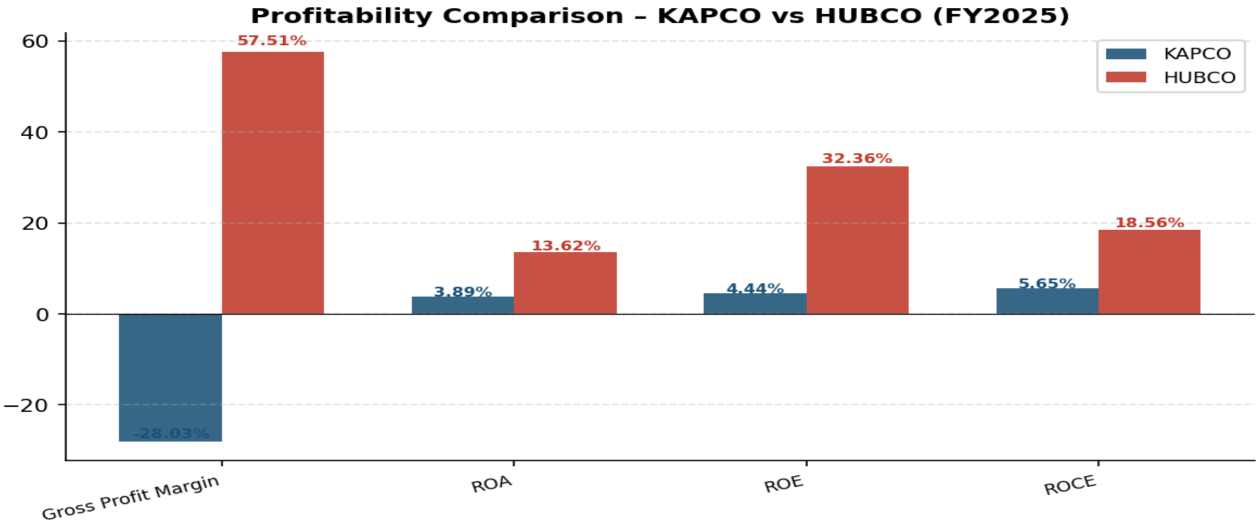

Figure 9: Profitability Ratios – KAPCO vs HUBCO (FY2025). HUBCO leads across all meaningful profitability metrics; KAPCO's positive net profit is driven by non-operating income.

HUBCO's gross profit margin of **57.51%** vs. KAPCO's -28.03% starkly illustrates the operational gap. HUBCO's ROE of **32.36%** and ROCE of **18.56%** demonstrate strong value creation, while KAPCO's ROE of 4.44% barely exceeds a risk-free deposit rate. However, KAPCO's net profit of PKR 2.54B — achieved without active generation — underscores the strength of its balance sheet and non-operating income streams (bank interest, investments).

3.5 Holistic Financial Health – Radar Analysis

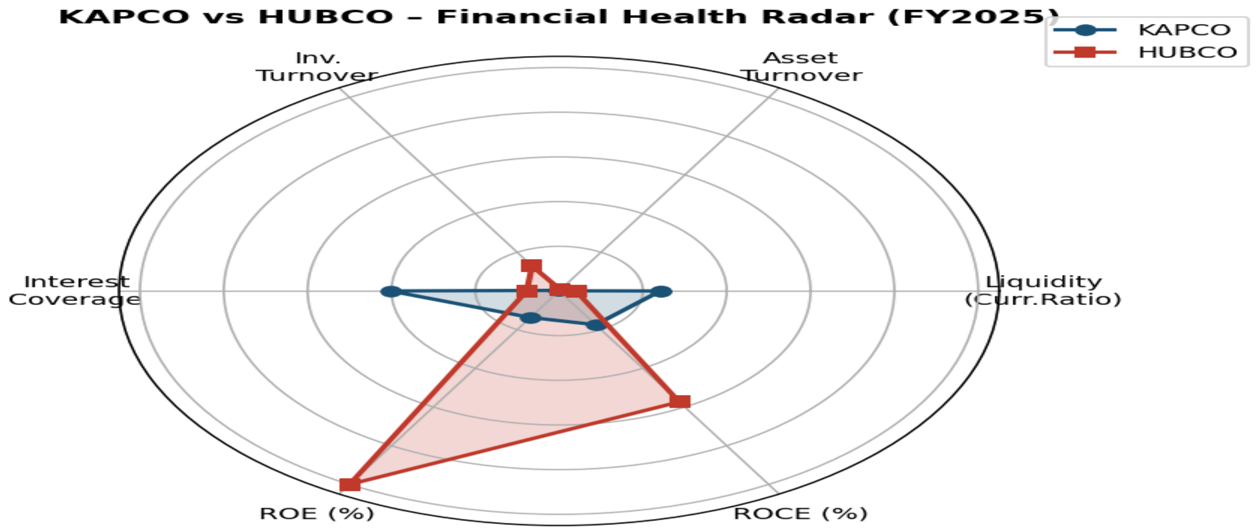

Figure 10: Financial Health Radar – KAPCO vs HUBCO (FY2025). Scores normalised per category. KAPCO dominates on liquidity and debt safety; HUBCO leads across all return and efficiency dimensions.

Part 4 – Interpretation & Conclusion

4.1 Liquidity & Risk Relationship

KAPCO's extraordinary liquidity (Current Ratio 7.83x, Quick Ratio 6.35x) is not a product of superior working capital management but a **structural consequence of PPA wind-down**. The recovery of PKR 102.7B in legacy receivables since FY2021 has flooded the balance sheet with liquid assets, while simultaneous debt retirement has eliminated current liabilities. This creates a paradox: the company is maximally liquid yet minimally operational. Excessive liquidity, if not deployed productively, represents an **opportunity cost** — idle capital earns suboptimal returns relative to what active reinvestment would generate. The very high liquidity ratios actually signal **elevated strategic risk**: without a new PPA or business model, KAPCO's earnings are not sustainable beyond its existing cash pile.

4.2 Leverage and Profitability Relationship

The inverse relationship between leverage and ROE is clearly illustrated by comparing KAPCO and HUBCO. KAPCO's choice to eliminate debt (D/E: 0.14x) has dramatically reduced financial risk — but it has also reduced return on equity to **4.44%**, forfeiting the **financial leverage multiplier** that amplifies equity returns when assets earn more than the cost of debt. HUBCO's D/E of 1.38x contributes to its ROE of 32.36%, illustrating the **DuPont relationship**: ROE = Net Margin x Asset Turnover x Equity Multiplier. KAPCO's low equity multiplier (1.14x) and near-zero asset turnover collectively suppress its ROE despite maintaining a positive net profit. The lesson is that **debt-free does not mean optimal** — appropriate leverage, when productive assets exceed the cost of borrowing, can enhance shareholder value.

4.3 Solvency Assessment

KAPCO is unambiguously solvent. Its total equity of PKR 57.1B comfortably exceeds total liabilities of PKR 8.2B (equity ratio: 87.5%). The interest coverage of 13.06x means EBIT covers finance charges over 13 times — making near-term default risk negligible. The company can sustain its current structure for several years on existing liquid assets alone. HUBCO's solvency is also adequate but structurally more complex: higher leverage requires consistent operational cash flows to service debt — which HUBCO has demonstrated through its diversified plant base.

4.4 Operational Efficiency Assessment

KAPCO's efficiency ratios are the clearest indicator of its transitional status. A total asset turnover of 0.02x means KAPCO generates only PKR 2.1 in revenue for every PKR 100 of assets — compared to HUBCO's PKR 21.9. This is not a failure of management but an **inevitable consequence of operating without a generation contract**. Inventory of PKR 11.65B (fuel stocks) turning over 0.09x annually represents locked capital. Until a new PPA or power-supply arrangement is secured, KAPCO's asset base will remain fundamentally underutilised.

4.5 Overall Financial Health Assessment

Dimension	KAPCO Assessment	HUBCO Assessment
Liquidity	Exceptional (structural wind-down)	Adequate (active operations)
Solvency	Near debt-free; very low risk	Moderately leveraged; manageable
Efficiency	Critically low — no active PPA	Moderate; improving with diversification
Profitability	ROE 4.4%; non-operating driven	ROE 32.4%; operationally strong
Strategic Outlook	High uncertainty post-PPA	Diversified & growing portfolio

Conclusion

KAPCO and HUBCO present a compelling contrast in how two companies from the same sector can arrive at radically different financial profiles. KAPCO's five-year journey (FY2021–FY2025) is one of **planned financial consolidation** in the aftermath of a PPA expiry: receivables recovered, debts retired, and balance sheet fortified — at the cost of operational income and shareholder returns. The company's profitability is currently non-operational in nature, sustained by investment income on its large liquid asset base rather than by generation revenue. Its efficiency ratios have collapsed to levels that signal **strategic dormancy** rather than operational failure.

HUBCO, by contrast, demonstrates what an **actively diversified IPP** looks like: moderate leverage deployed across multiple plants, robust revenue generation (PKR 83.35B), and superior returns (ROE 32.36%, ROCE 18.56%). Even with its own base-plant PPA expiry in FY2025 causing a 31% profit decline, HUBCO's multi-plant model has effectively de-risked single-contract dependency — the exact risk that has destabilised KAPCO's income.

The critical takeaway is that **financial safety without operational purpose** is not a sustainable long-term strategy. KAPCO's near-term financial health is not in question, but its **medium-term viability** hinges entirely on whether management can secure new generation contracts, convert to a merchant/competitive market supplier, or pursue strategic alternatives such as a merger, capacity repurposing (e.g., gas-to-renewables transition), or managed wind-down. Without decisive action, KAPCO risks continued erosion of its equity base through dividends and operating costs, while its superior asset base goes underutilised — a textbook case of the **paradox of excess liquidity masking strategic paralysis**.

Sources: KAPCO Annual Reports 2021–2025 | HUBCO Integrated Annual Report 2025 | Pakistan Stock Exchange (PSX) disclosures | NEPRA Tariff Determinations